

Perfect Store — Segmentation Report

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Data Quality Assessment

VERDICT: PASS

REPORT:

- * The outlet master file is robust with no duplicate outlet IDs, ensuring accurate VPO averages and cluster sizes. VPO outliers are minimal (<1%) and will not distort segment centroids.
- * However, key contextual columns like `pepsi\_top\_city\_name` and `urban\_vs\_periphery\_tagging` show significant null percentages (over 60%). This will limit the granularity and richness of segments derived from these specific attributes.
- * Minor instances of negative SKU revenue values, indicative of returns or credits, have been identified across several product lines. These will be automatically clipped to zero prior to clustering, preventing any distortion in SKU contribution analysis.
- * The dataset provides a strong base of 10,000 outlets, sufficient for reliable segmentation and prioritization, with good geographic coverage across major states like Uttar Pradesh, West Bengal, and Maharashtra.
- * Channel distribution is heavily skewed towards 'Retail', with limited representation for 'WHOLESALE' and 'Spoke' outlets. It is recommended to harmonize 'AFH - Others' and 'Afh - Others' for consistent channel analysis.
- * All core columns required for the Perfect Store segmentation pipeline (`OUTLET\_UID\_EDITED`, `VPO`, `TOTAL\_REVENUE`, `AVG\_SKU`, `channel`) are present, allowing for downstream processing.

Segmentation Overview

The analysis identified **6 distinct outlet segments** across **10,000 retail outlets**, representing a combined monthly VPO of **₹35,882,659**.

Segment	Label	Outlets	% Total	Avg VPO (₹)	Avg SKUs
0	Urban Neighbourhood Grab & Go GT with	1,536	15.4%	₹6,233	18.5
1	Rural Kirana Everyday Needs with High	3,037	30.4%	₹2,715	9.2
2	Urban High-Footfall Impulse GT with Lo	5,088	50.9%	₹2,617	12.2
3	Metro High-Footfall Urban GT with Offi	15	0.1%	₹2,945	13.5
4	Urban Modern Trade with Premium Stock-	282	2.8%	₹5,650	17.6
5	High-Value Urban GT with Mixed Channel	42	0.4%	₹74,113	26.3

Store Prioritization — A/B/C/D & Upside Tagging

Tier	Description	Outlets	% Total	Avg Actual VPO	Avg Potential VPO	Avg Gap
A+	Top 20% by VPO — BELOW 75th-pct potential (highest intervention potential)	214	6.4%	■6,325	■7,917	■1,592
A	Top 20% by VPO — performing at potential	1,356	13.6%	■12,793	■5,509	■-7,284
B+	Next 20% by VPO — BELOW 75th-pct potential	1,464	14.6%	■3,384	■5,173	■1,789
B	Next 20% by VPO — performing at potential	536	5.4%	■3,491	■2,437	■-1,055
C+	Next 30% by VPO — BELOW 75th-pct potential (emerging opportunities)	1,567	25.7%	■1,814	■3,403	■1,589
C	Next 30% by VPO — performing at potential	433	4.3%	■1,920	■1,375	■-545
D+	Bottom 30% by VPO — BELOW 75th-pct potential (underserved catchment)	2,620	28.2%	■710	■2,026	■1,316
D	Bottom 30% by VPO — performing at potential	180	1.8%	■804	■502	■-302

Strategic Prioritization Narrative

Perfect Store Prioritization: Unlocking Untapped Potential Across India

To our Field Sales Leadership Team,

This Perfect Store prioritization analysis provides a data-driven roadmap to optimize our Go-To-Market efforts, ensuring we focus our resources where they yield the highest commercial returns. By segmenting our 10,000 retail outlets across India and identifying their true potential, we can move beyond intuition-led execution to a scalable, data-backed strategy.

Our quantile regression model, which predicts the 75th percentile VPO (Value Per Outlet), clearly highlights the environmental factors that most strongly drive an outlet's revenue potential in the Indian FMCG landscape. The top drivers are consistently ****neighbourhood demographics (per-capita income, SEC household distribution), store size, and proximity to commercial hubs**** such as offices, malls, schools, and transport stations. This confirms that a store's inherent potential is deeply tied to its catchment's affluence and the footfall generated by its surroundings. For territory planning, this means prioritizing areas with higher SEC households and strong commercial activity, ensuring our sales force is strategically deployed to geographies with the highest inherent VPO potential. It validates our focus on quality of catchment over mere quantity of outlets, enabling differentiated service models for maximum impact.

Prioritizing High-Impact Interventions: A+ and B+ Stores

Our analysis reveals that ****A+ (6.4% of outlets)**** and ****B+ (14.6% of outlets)**** stores represent our highest-priority intervention targets. These outlets are already strong performers, ranking in the top 40% by actual VPO, yet they exhibit significant untapped potential. An A+ store, for instance, generates an average VPO of ■6,325 but could achieve ■7,917, leaving a ■1,592 gap. Similarly, B+ stores, with an average VPO of ■3,384, have a substantial ■1,789 gap against their predicted potential of ■5,173.

The fact that these stores are already high-revenue but still below their environmental potential indicates they are leaving significant money on the table. This isn't a problem of poor location or lack of shoppers; rather, it suggests sub-optimal execution within a highly favorable environment. Interventions here are likely to yield the fastest and highest ROI. The gap can typically be closed by:

* **Execution Upgrade & Premiumization (A+):** Optimizing planograms for high-margin SKUs, ensuring full portfolio availability, prioritizing new product launches (NPDs), installing/upgrading chillers, and implementing premium merchandising (MBD) to enhance shopper experience and drive basket size.

* **Distribution Fill & Visibility Boost (B+):** Aggressively pushing for MSL compliance, ensuring availability of hero SKUs, deploying secondary displays for impulse purchases, and enhancing visibility with impactful POSM.

Strategic Approaches for C+ and D+ Stores

The **C+ (25.7% of outlets)** and **D+ (28.2% of outlets)** segments also show significant positive opportunity gaps (■1,589 and ■1,316 respectively). These are not structural low-performers; rather, they are outlets in decent catchments that are currently underperforming their environment. This suggests they are either underserved by our current GTM model or are not optimizing their sales.

Our approach to these segments must be different from A+/B+. While A+/B+ focus on optimizing existing strong performance, C+/D+ require building foundational performance. Investment here needs to be more strategic and potentially phased:

* **C+ (Strategic Investment):** These mid-revenue stores in favorable catchments warrant strategic investment. This includes implementing cooler seeding programs where justified, driving MSL compliance, providing basic POSM, and increasing visit frequency to build rapport and educate retailers on category growth. The goal is to unlock latent potential through targeted, foundational investment.

* **D+ (Trial Activation):** These low-revenue stores with potential require a more cautious, trial-based approach. We should introduce affordable entry-pack SKUs (e.g., ■5/■10 packs), conduct basic awareness drives, and explore low-cost service models. Performance must be monitored closely to validate the potential before committing to further significant investment.

Recommended Field Action Matrix

To translate this analysis into actionable steps for our field teams, here is a prioritized action matrix:

* **A+ (Top 20% VPO, Underperforming Potential):**

* **Action:** **Execution Upgrade & Premiumization.** Optimize planograms for high-margin SKUs, ensure full portfolio availability, prioritize new product launches (NPDs), install/upgrade chillers, implement premium merchandising (MBD). Focus on increasing basket size and conversion.

* **A (Top 20% VPO, At Potential):**

* **Action:** **Protect & Retain.** Maintain strong trade terms, ensure loyalty programs are active, prioritize first-mover advantage on NPDs, monitor competitor activity closely. Focus on sustaining high performance and preventing erosion.

* **B+ (Next 20% VPO, Underperforming Potential):**

* **Action:** **Distribution Fill & Visibility Boost.** Aggressively push for MSL compliance, ensure availability of hero SKUs, deploy secondary displays for impulse purchases, enhance visibility with impactful POSM. Focus on improving fundamental availability and shopper engagement.

* **B (Next 20% VPO, At Potential):**

* **Action:** **Maintain Frequency & Seasonal Activation.** Ensure consistent visit cadence, execute seasonal promotions and activations effectively, maintain strong retailer relationships. Focus on steady performance and leveraging tactical opportunities.

* **C+ (Next 30% VPO, Underperforming Potential):**

* **Action:** **Strategic Investment & Foundational Build.** Implement cooler seeding programs where justified, drive MSL compliance, provide basic POSM, and increase visit frequency to build rapport and educate retailers on category growth. Focus on unlocking latent potential through targeted investment.

* **C (Next 30% VPO, At Potential):**

* **Action:** **Efficiency & Digital Enablement.** Optimize visit routes to reduce cost-to-serve, encourage digital reordering platforms, focus on essential MSL maintenance. Focus on profitable service models.

* **D+ (Bottom 30% VPO, Underperforming Potential):**

* **Action:** **Trial Activation & Entry-Pack Introduction.** Introduce affordable entry-pack SKUs (e.g., 5/10 packs), conduct basic awareness drives, and explore low-cost service models. Monitor performance closely to validate potential before further investment.

* **D (Bottom 30% VPO, At Potential):**

* **Action:** **Rationalize & Lowest-Cost Service.** Reduce visit frequency, explore alternative service models (e.g., tele-sales, distributor-led), focus on essential product availability. Prioritize efficiency and minimize cost-to-serve for these structural low-performers.

By adopting this data-driven prioritization and action framework, we can ensure our Perfect Store initiatives are commercially grounded, driving sustainable revenue and margin growth across our diverse retail landscape.

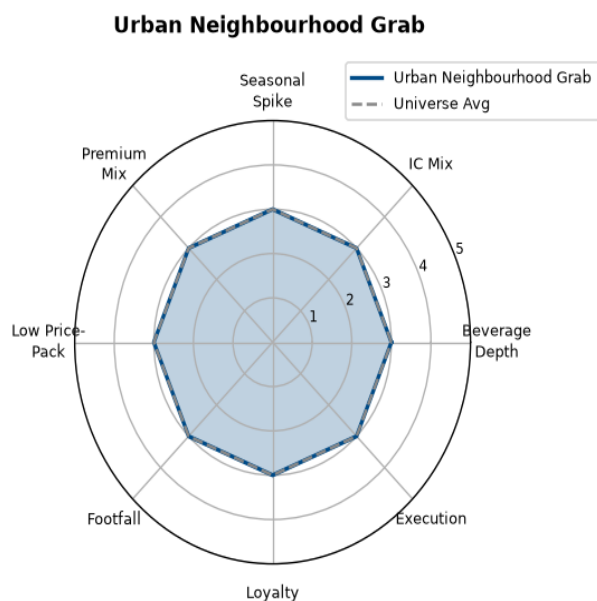
Segment Deep Dives

Segment 0: Urban Neighbourhood Grab & Go GT with High Impulse

These are established, small urban GT outlets like kiranas, bakeries, and sweet shops, serving a mix of SEC C/D households. With high cooler penetration and significant footfall, they cater to daily immediate consumption needs and impulse purchases. Shoppers are looking for quick, convenient refreshment and snacks.

Outlets: 1,536 (15.4% of total) | **Avg VPO:** ■6,233/month | **Avg Total Rev:** ■70,393 | **Avg SKUs:** 18.5 | **Avg Active Months:** 10.9

Recommended Action: Optimize chiller assortment for high-turnover impulse SKUs and ensure prominent POSM for chilled beverages to maximize immediate consumption sales.



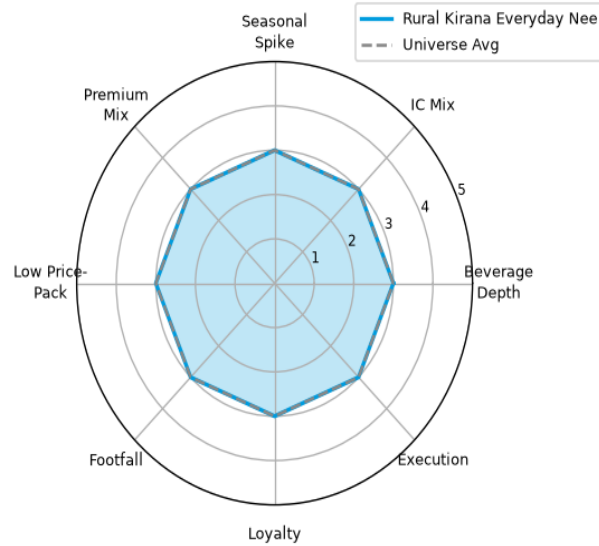
Segment 1: Rural Kirana Everyday Needs with High Affordability

These are small, predominantly rural kiranas serving low-income SEC D/E households, characterized by very low VPO and limited SKU range. Shoppers prioritize extreme affordability and basic, high-frequency needs, often purchasing single-serve or sachet formats. Many are new or less active outlets.

Outlets: 3,037 (30.4% of total) | **Avg VPO:** ■2,715/month | **Avg Total Rev:** ■12,512 | **Avg SKUs:** 9.2 | **Avg Active Months:** 3.9

Recommended Action: Focus on driving numeric distribution of Rs. 5 and Rs. 10 entry-price-point SKUs and basic MSL compliance to capture trial and penetration in this price-sensitive segment.

Rural Kirana Everyday Nee



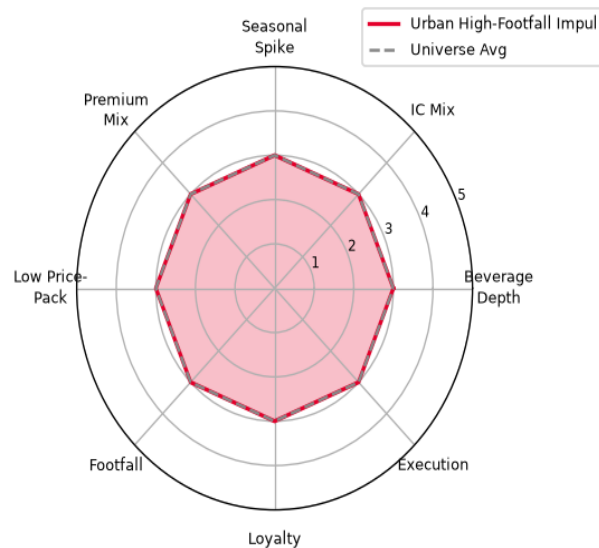
Segment 2: Urban High-Footfall Impulse GT with Low Premium

This is the largest cluster of small, established urban GT outlets, including kiranas and paan kiosks, serving SEC C/D households. Despite high school proximity and significant footfall, VPO is low with minimal premium sales, indicating a strong focus on affordable, immediate consumption and youth-driven impulse purchases.

Outlets: 5,088 (50.9% of total) | **Avg VPO:** ■2,617/month | **Avg Total Rev:** ■27,409 | **Avg SKUs:** 12.2 | **Avg Active Months:** 10.0

Recommended Action: Implement a targeted chiller seeding program for high-footfall outlets and ensure strong visibility of Rs. 10-20 impulse packs, especially near schools and colleges.

Urban High-Footfall Impul

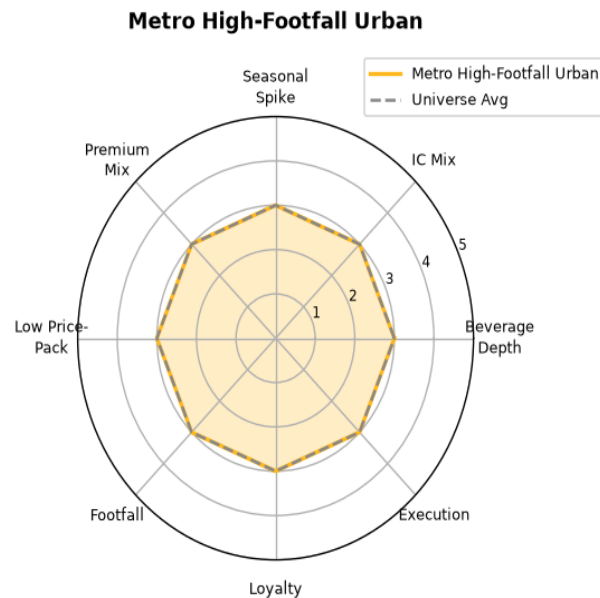


Segment 3: Metro High-Footfall Urban GT with Office Proximity

A small but high-footfall cluster of urban GT stores, predominantly kiranas, located in metro cities with close proximity to large offices and malls. These outlets serve a diverse SEC profile, catering to on-the-move professionals and shoppers seeking convenient, quick purchases during their commute or breaks.

Outlets: 15 (0.1% of total) | **Avg VPO:** ■2,945/month | **Avg Total Rev:** ■32,749 | **Avg SKUs:** 13.5
| **Avg Active Months:** 10.9

Recommended Action: Develop combo offers for beverage + snack, tailored for office-goers, and ensure prominent display of single-serve and mid-tier packs (Rs. 20-40) at the counter.

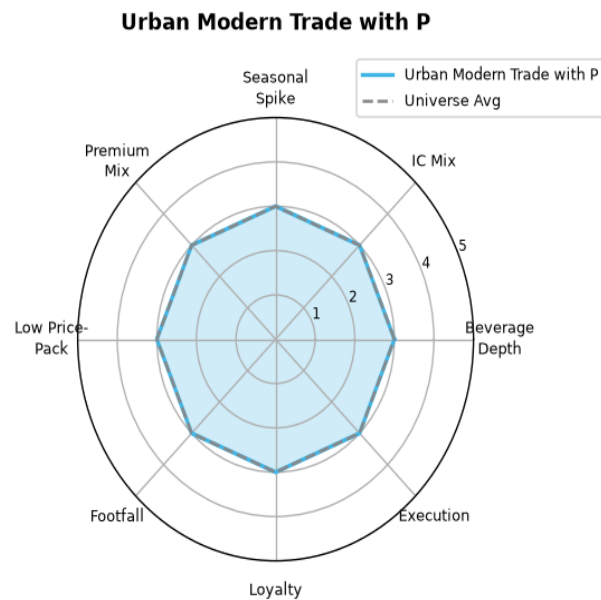


Segment 4: Urban Modern Trade with Premium Stock-up Focus

This cluster represents larger, established urban Modern Trade outlets, primarily grocery department stores, with 100% cooler availability and high premium category sales. Serving higher SEC households, these stores are destinations for planned, larger basket stock-up purchases and premium indulgence.

Outlets: 282 (2.8% of total) | **Avg VPO:** ■5,650/month | **Avg Total Rev:** ■63,141 | **Avg SKUs:** 17.6 | **Avg Active Months:** 10.5

Recommended Action: Ensure full range availability of multi-serve and premium SKUs, optimize planogram compliance for secondary displays, and execute category-specific promotions for stock-up occasions.



Segment 5: High-Value Urban GT with Mixed Channel Potential

These are high-performing, established urban GT outlets with very high VPO and SKU count, often including bakeries. They serve a mixed SEC profile, with significant premium sales and high cooler penetration, indicating a strong capability to cater to both immediate consumption and some premium offerings, potentially with AfH spillover.

Outlets: 42 (0.4% of total) | **Avg VPO:** ■74,113/month | **Avg Total Rev:** ■763,035 | **Avg SKUs:** 26.3 | **Avg Active Months:** 10.9

Recommended Action: Focus on premiumization by expanding the range of high-margin single-serve and mid-size packs, and leverage strong cooler presence for seasonal activation campaigns.

